

Iran Conflict Could Push Mortgage Rates Past 7% Into Late 2026, Threatening CRE Refinancing

A prolonged conflict adds 0.375%-0.435% to peak mortgage rates, compressing refinancing windows for multifamily and commercial borrowers.

The most important number in the Iran conflict for commercial real estate is not the price of oil. It is the 0.375% to 0.435% spread above 6.75% that mortgage rates could add if the conflict runs five to six more months. That is not a forecast. It is a scenario that every owner with a 2026 or early 2027 maturity should be stress-testing today. The conflict is now 100 days old.

Iran fired missiles at Israel on Sunday. President Trump is trying to stop retaliation. Oil jumped 3%. The timeline everyone assumed was short is no longer short. If Iran wants to inflict political pain through the midterms, the conflict could stretch past November. That changes the rate calculus for every borrower who thought they had until year-end to refinance.

The original 2026 HousingWire forecast called for mortgage rates between 5.75% and 6.75% and the 10-year yield between 3.80% and 4.60%. That forecast assumed the labor data would improve and inflation would stay firm, but it did not assume a prolonged Middle East conflict, rising energy prices, or a stronger dollar. Those are now live variables. So far, the 10-year yield and mortgage rates have stayed inside the forecast range.

But the labor market has firmed up enough to show that 2025 was a soft patch, not a break. Inflation is picking up. The Federal Reserve has shifted from expecting two to three rate cuts in 2026 to pricing in one hike, with three to four more hikes possible if the conflict persists. That is a material change in the rate trajectory. For commercial real estate, the implication is straightforward.

Every basis point of mortgage rate increase compresses the refinancing window for loans originated at lower rates. A 0.375% to 0.435% increase on top of a 6.75% base pushes effective rates toward 7.125% to 7.185%. At those levels, debt service coverage ratios tighten, loan proceeds shrink, and borrowers who were already at the margin lose their refinancing optionality.

The assets most exposed are those with floating-rate debt, near-term maturities, and thin cash flow coverage. Multifamily properties financed with agency debt at 4% to 5% in 2021 and 2022 face a rate reset of 200 to 300 basis points. Add another 40 basis points on top of that, and the math stops working for a meaningful share of the market.

The bond market has already shown its sensitivity to labor and growth risks. The 10-year yield fell below 4% this year only because investors feared economic weakness. That fear is fading. If the labor data continues to improve and the conflict keeps energy prices elevated, the 10-year yield will settle in the upper end of the 4.30% to 4.60% range. Mortgage rates will follow. Who benefits?

Borrowers who locked fixed-rate financing before the conflict escalated. Lenders who structured floating-rate loans with rate caps or hedges. Private credit funds that can underwrite to higher rates and capture wider spreads. Agency lenders who can still access the debt capital markets at favorable spreads. Who is exposed? Owners with maturities in the second half of 2026 or early 2027 who have not yet refinanced.

Borrowers relying on rate cuts that may not come. Sponsors with floating-rate debt and no hedge. Lenders who underwrote to a benign rate environment and now face extension risk or loss. The market should watch three things: the duration of the Iran conflict, the trajectory of the 10-year yield, and the Fed's next policy signal.

If the conflict lasts past the midterms, the rate scenario shifts from a tail risk to a base case. That is not a prediction. It is a risk that every capital markets professional should be pricing into their underwriting today. The conflict is not just a geopolitical headline. It is a capital markets variable that decides which borrowers get time and which run out of it.

About Us

Light Tower Group is a commercial real estate capital advisory firm helping owners, developers, and investors structure and source debt, preferred equity, joint venture equity, and other institutional capital solutions.

We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

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